



**INSURANCE AND PENSIONS
COMMISSION**

PENSIONS INDUSTRY REPORT

FOR THE THIRD QUARTER 30 SEPTEMBER 2020



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This report highlights major developments in the pension industry and does not cover the public-sector pension scheme and the National Social Security Authority (NSSA). The report is based on unaudited financial statements of insured, stand-alone self-administered funds, as well as self-administered funds under insurers and professional fund administrators.

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DEFINITION OF TERMS

Active Member – Member who is actively making contributions in terms of the fund rules and includes a member who is on contribution holiday for an agreed period of time.

Beneficiary – A person other than a contributing member of a fund who is entitled, in terms of the rules of the fund, to receive benefits from the fund upon the occurrence of a specific event and whose entitlement arise on account of a relation with the contributing member.

Deferred Pensioner – A member who is no longer eligible to make contributions to the fund on account of having left the employ of the participating employer(s) and whose benefits are preserved within the fund until the member attains the retirement age.

Inactive Fund – A fund whose sponsoring employer is no longer contributing/paid-up or under dissolution.

Insured Fund – A fund under the administration of an insurance company that is administered through one or more policies of insurance whose assets are registered in the name of the insurer, mandated with the administration of the fund.

Members with Unclaimed Benefits – Members of a fund who have not claimed their benefits when they were entitled to receive such benefits and cannot be located by the fund.

Pensioner – a person in receipt of pension benefits from a pension fund.

Pension Fund Member – in relation to a fund, means any person who is a member of that fund in terms of the rules thereof.

Self-Administered Fund – For the purposes of this report, means a fund that is administered by registered fund administrators and insurers and whose assets are registered in the respective name of the fund.

Stand-Alone Fund – These are self-administered funds which own and control their administration structures (having own employees) for the purpose of operating the fund.

Suspended Pensioner – A pensioner whose pension benefits are withheld by the pension fund on account of not providing proof of existence.

Contribution Arrears – these are contributions which have fallen due to the fund but not yet remitted by the sponsoring employer.

Defined Contribution Scheme – A pension scheme in which the final benefits depend on the net contributions and investment returns

Defined Benefits Scheme – A pension scheme in which the final benefit is pre-determined using a formula provided for in the rules of the scheme.

1. Executive Summary

1.1 The number of registered funds in the pensions industry stood at 961 as at 30 September 2020 compared to 1 094 funds reported as at 30 September 2019. Of the 961 registered funds, 914 were defined contribution schemes whilst 47 were defined benefit schemes.

1.2 Total membership, excluding beneficiaries was 888 690 as at 30 September 2020, having risen from 798 828 as at 30 September 2019.

1.3 The total asset base of the industry increased by 1043.39% from \$9.45 billion as at 30 September 2019 to \$108.05 billion as at 30 September 2020 whilst annual inflation was at 654.9%.

1.4 The increase in the asset base was mainly due to revaluation of investment property and quoted equities, which increased by 1489.18% and 706.47% respectively. The two asset classes, investment property and quoted equities had a combined value of \$84.27 billion, accounting for 77.99% of total industry assets.

1.5 The value of prescribed assets increased by 1144.44% to \$8.96 billion as at 30 September 2020 from \$0.72 billion reported as at 30 September 2019. Whilst there was an increase in the nominal value of prescribed assets investments, compliance was still low at 8.29% against the regulatory minimum of 20%.

1.6 Total income for the industry during the 9 months to September 2020 was \$58.97 billion compared to \$2.69 billion for the same period in 2019. The income was driven by fair value gains and interest on investments which constituted 54.76% and 31.59% of total income respectively.

1.7 Total industry expenditures for the period under review amounted to \$2.18 billion, of which \$1.30 billion was for pension benefit payments.

1.8 Total administrative expenditures for the period January to September 2020 amounted to \$885.12 million compared to \$341.84 million for the same period in 2019.

1.9 Average expenses to total income ratio for the period under review was 1.21% compared to 3.68% in the prior year. Notwithstanding the improvement in the expenses to income ratio, the administration expenses to total realised income ratio as at September 2020 was 2.67%.

2. The Insurance and Pensions Commission at a Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the pensions industry consistent with its statutory mandate for the 9 months ended 30 September 2020.

3. Terms of Reference

3.1 The activities of the Commission are guided by the following Acts and their regulations:

- . Insurance and Pensions Commission Act [Chapter 24:21];
- . Pension and Provident Funds Act [Chapter 24:09];
- . Insurance Act [Chapter 24:07];

- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

4. Economic Developments

4.1 Global and Regional Economic Outlook

4.1.1 The total number of confirmed Covid-19 cases globally exceeded 33 million, with over a million deaths as at 30 September 2020, compared to over 10.2 million cases and 503 862 deaths recorded as at 30 June 2020. Most notable increases in Covid-19 transmissions were recorded towards the end of the quarter, in the United States of America, Latin America, India and South Africa.

4.1.2 Notwithstanding the general improvement in global economic activity, the road to recovery is projected to be long, winding and uncertain following a renewed surge in new Covid-19 infections. As a result, re-openings have been stalled and targeted lockdowns reinstated in some countries such as the United Kingdom, France and Germany

4.1.3 Revised IMF projections reveal a lesser contraction in global economic output of 4.4% in 2020, from an earlier forecast of 4.90% in June 2020, driven by improved GDP growth forecast for advanced economies. The advanced economies are expected to decline by 5.8% in 2020, an improvement from earlier forecast of 8.0%, following

expected better GDP outturns in the Euro area and the United States that adopted aggressive policy measures which contributed to improved financial conditions.

4.1.4 GDP growth for emerging markets and developing economies (EMDEs) is expected to contract by 3.3% in 2020. However, significant growth of 1.9% in 2020 and 8.2% in 2021 is expected in China, as the economy reopened early in April, and normalised faster than expected owing to strong policies and resilient exports. Global outlook projections are as shown in Table 1.

Table 1: World Economic Outlook Projections (Percentage Change)

	2019	2020*	2021*
World Output	2.8	-4.4	5.2
Advanced Economies	1.7	-5.8	3.9
USA	2.2	-4.3	3.1
Euro Area	1.3	-8.3	5.2
Emerging Markets and Developing countries	3.7	-3.3	6
China	6.7	1.9	8.2
Sub-Saharan Africa	3.2	-3	3.1
Nigeria	2.2	-4.3	1.7
South Africa	0.2	-8.0	3.0

Source: October 2020 World Economic Outlook, IMF. * Revised projections

4.1.5 Sub-Saharan Africa GDP growth expectations were broadly unchanged from June 2020, with a contraction of 3% in 2020. A rebound of 3.1% is projected in 2021 to pre-Covid-19 levels. The largest growth impact in the region is expected to arise from tourism dependent and commodity dependant economies including oil exporting countries.

4.2 Domestic Economic Outlook

The Government projects the domestic economy to contract by 4.5% in 2020 owing to vulnerabilities suffered during the pre-Covid19 period i.e. climatic

shocks and macroeconomic instability. The economy is expected to rebound by 7.4% in 2021, underpinned by stabilisation gains of the Transitional Stabilisation Programme, successor strategies and programmes under the National Development Strategy as well as improved climate and investment conditions.

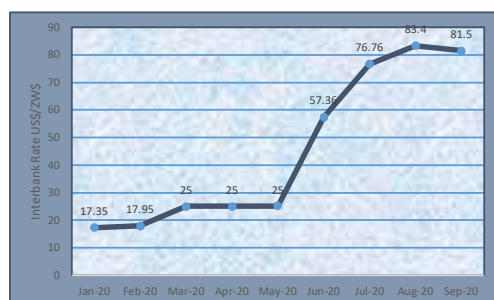
IMF projections on Zimbabwe, however, show a much deeper contraction in 2020, of 10.4% in 2020, and a more conservative rebound/recovery of 4.2% in 2021.

4.3 Exchange Rate Developments

4.3.1 The introduction of the foreign exchange auction system on 23 June 2020 has resulted in a more stable and predictable foreign exchange market. Availability of foreign exchange has also improved, with a total of US\$291 million having been allotted by 2 October 2020.

4.3.2 The interbank rate depreciated to \$83.4 in August 2020 from \$57.36 in June 2020, before closing the quarter strong at \$81.50 as depicted in Figure 1.

Figure 1: Interbank Exchange Rate January to September 2020 (US\$/ZW\$)



Source: Reserve Bank of Zimbabwe

4.4 Inflation Developments

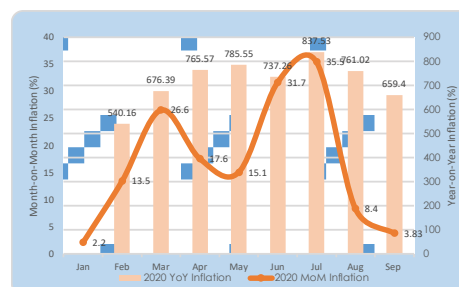
4.4.1 The foreign exchange auction system stemmed the indexing of prices to parallel market rates by market players that in turn fuelled inflation, effectively anchoring inflationary

expectations. This was evidenced by a sharp decline in month-on-month inflation rate from 35.5% in July 2020 to 8.4% in August 2020, and a further decline in September to close the quarter at 3.83%.

4.4.2 Major declines were recorded in food and non-alcoholic beverages inflation rate which decreased by 31.69% in August to reach 6.30% from the July rate of 37.99%. Non-food inflation declined to 23.73% from 33.76% in July 2020.

4.4.3 The annual inflation rate also declined from 837.37% in July 2020 to 659.4% in September 2020 as shown in Figure 2. The reduction in inflation rate, though in the positive territory, shows that prices are increasing at a decreasing rate.

Figure 2: Month on Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTATS

4.4.4 ZIMSTATS introduced a blended CPI inflation in June 2020, which combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZW\$ and the US\$. The annual blended CPI inflation was 457.19% in June 2020 and increased to 485.3% in August before declining to close the quarter at 376.3% in September 2020.

The monthly blended CPI inflation rate declined from 29.44% in June 2020 to 16.7% in July, and further decreased to

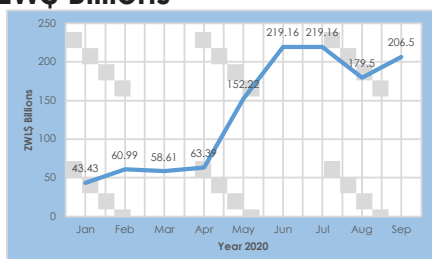
1.4% in August 2020. In September 2020, the blended inflation was -0.5%. Thus, according to the blended monthly inflation rate, we have entered into a deflation mode.

4.5 Zimbabwe Stock Exchange Developments

4.5.1 Trading on the Zimbabwe Stock Exchange resumed on 3 August 2020, following the suspension of trading activities on 26 June 2020, to pave way for investigations into the suspected trading of foreign exchange on the parallel market linked to movements in the Old Mutual Implied Exchange Rate. Old Mutual, PPC remain suspended from trading on ZSE whereas Seed Co International is now trading on the Victoria Falls Stock Exchange.

4.5.2 As a result of the suspension of trade on the ZSE, market capitalisation level was affected as it declined from \$219.16 billion recorded on 26 June 2020 before the suspension of trade to \$179.50 billion by 28 August 2020. Though market capitalisation improved to \$ZWL206.50 billion as at 30 September 2020, it was 5.6% lower than the June level as depicted in Figure 3.

Figure 3: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

4.6 Victoria Falls Stock Exchange (VFEX)

4.6.1 The launch of the Victoria Falls Stock Exchange on 23 October 2020, was a welcome development for the insurance and pensions industry as it provides opportunities to diversify

investment portfolios and hedge against exchange rate risk.

4.6.2 Trading, depository and settlement services commenced on the 26th of October 2020. According to section 6 of S.I.196 of 2020, the clearing and settlement of transactions on the VFEX shall be done by the VFEX, locally or offshore in accordance with clearing and settlement rules approved by the Securities and Exchange Commission of Zimbabwe, in consultation with the Reserve Bank of Zimbabwe (RBZ.)

4.6.3 All fungibility restrictions on SeedCo International Limited shares were lifted effective 6 November 2020. However, the delay in listing and removing fungibility of Old Mutual and PPC shares is of concern to the industry as it affects the determination of asset values of pension funds members and policyholders currently tied in the two counters.

4.7 Money Market Developments

4.7.1 The interest rate on savings deposits remained unchanged for the quarter under review, ranging from a minimum of 2.35% and maximum of 5.19%.

4.7.2 One-month deposit rates improved from a minimum of 3.88% end of July 2020 to 4.17% on 25 September 2020. Maximum rates for the same period increased from 6.99% to 7.73%.

4.7.3 The three-month deposit rates also improved from a minimum of 4.36% to 4.50% and the maximum rates from 7.17% to 8.37%. However, real rates remain negative given the high level of annual inflation.

Table 2: Average Rate per Annum

Date	Savings Deposit (%)	One-Month Deposit Rates (%)	Three-Month Deposit Rates (%)
30-Jun-20	2.35-5.19	3.26-6.56	4.21-7.22
31-Jul-20	2.35-5.19	3.88-6.99	4.36-7.17
28-Aug-20	2.35-5.19	4.14-7.17	4.79-7.49
25-Sep-20	2.35-5.19	4.17-7.73	4.50-8.37

Source: Reserve Bank of Zimbabwe, 2020

5. Regulatory Developments

5.1. Fund Registrations

The Commission registered 26 funds during the 9-months ended 30 September 2020. Of these funds, 22 were full registrations while 4 were provisional registrations.

5.2. Registrations of Redrafted Fund Rules

5.2.1 In view of the need to align fund rules with changes in legislation and emerging international best practice, the Commission embarked on registration of redrafted rules. As at 30 September 2020, 561 redrafted rules had been registered against the 961 that were expected.

5.2.2 The Commission notes with concern that there are some funds which have not yet submitted their redrafted rules despite the extensions of deadlines to do so. The second deadline for submission was 15 September 2020. In some cases, use of the old rules has resulted in inefficient operations of the funds. The Commission is therefore calling non-compliant entities to comply, failure of which penalties will be levied.

5.3. Re-registration of Funds

5.3.1 In a quest to establish a credible register of registered funds in the industry, the Commission embarked on an exercise of re-registering all funds. As at 30 September 2020, 440 funds had been registered out of the expected 961 funds.

5.3.2 Emerging issues from the re-registration exercise include the following:-

- . Lost registration certifications—presenting legitimacy concerns on their registration status;
- . Lack of IT capacity in some entities; and
- . Provisional certificates that expired as far as back as 2014, hence calling for regularisation.

5.3.3 A significant number of funds were observed to be inactive. As a result, administrators and insurers are now calling for dissolution of unviable inactive funds.

5.4. Prescribed Assets

5.4.1 In the 9 months ending 30 September 2020, the Minister of Finance and Economic Development approved the following prescribed assets:-

Table 3 – Approved Prescribed Assets

Item	ISSUER	PURPOSE	AMOUNT	Currency	Date Approved
1	Agribank and FBC Agro Bills	Financing the 2019/20 Agricultural season	100 million	ZWL	16 Jun 2020
2	Agribank and FBC Agro bills	Financing the 2019/20 Agricultural season	200 million	ZWL	3 Sep 2020
3	Copper Meadows	Development of residential stand	400 million	ZWL	6 Jun 2020
4	Dalvest – Coultic Investments (Pvt) Ltd	To construct a specialist hospital	3.5 million	USD	3 Sep 2020
5	Guruvu Solar Park	Solar Energy Project in Dunavet, Guruvu	4.75 million	USD	6 Jun 2020
6	ID&Z	To finance priority infrastructure projects	2 billion	ZWL	24 Jan 2020
7	ID&Z	To finance priority infrastructure projects	250 million	USD	24 Jan 2020
8	IH Advisory/ Inncor Africa Limited	To purchase stock feed for Inncor and Colcom and to finance contract farming	100 million	ZWL	2 Apr 2020
9	Mazvel Investments (Pvt) Ltd (ID&Z SPV)	Development of residential stands in Mt Pleasant, Harare	10.2 million	USD	3 Sep 2020
10	Northern Farming/CICADA	To support contract farming for the 2020 winter wheat farming season.	150 million	ZWL	8 May 2020
11	Untu Capital (Additional 40 million on prior amount)	Onward lending finance Micro, Small and Medium Enterprises.	60 million	ZWL	8 May 2020
12	Whakwe (Pvt) Ltd (ID&Z SPV)	Development of residential stands in Wilsgrange Park, Bulawayo	2.6 million	USD	3 Sep 2020
13	Zimbabwe Electricity Industry Pension Fund	Development of a specialist hospital and specialist psychiatric rehabilitation centre in Harare	4.695 million	USD	22 Oct 2020
14	Nurture BX Genetics	To purchase cattle, train farmers and breed improvement	Equivalent of up to 30 000 livestock units	USD	18 Nov 2020
15	New Glovers (Pvt) Ltd	solar Energy Project in Munyati, Kwekwe	8.3 million	USD	18 Nov 2020
16	Untu Capital (Additional 40 million on prior amount)	Onward lending finance Micro, Small and Medium Enterprises.	100 million	ZWL	18 Nov 2020

5.4.2 Given the low prescribed asset compliance levels, the Commission urges the industry to invest in approved

prescribed assets to reach the minimum required level of compliance.

5.5. Implementation of the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms

5.5.1 Pursuant to the issuance of the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension Values in Response to Currency Reforms, through Statutory Instrument 69 of 2020, the Commission has been enforcing and monitoring implementation of the Guideline.

5.5.2 This is an important guideline which is meant to ensure that there is equitable distribution of revaluation gains among policyholders and pension fund members arising from currency reforms effected in 2019.

5.5.3 The Commission commends entities that have complied and made their submissions. Meanwhile non-compliant entities have been penalised for either late or non-submission of Actuarial Valuation reports in line with requirements of the Guidance Paper on Currency Reforms.

5.5.4 We urge those still non-compliant to ensure compliance before year end as the industry prepares for the requirements of the next Measurement Date.

5.6. Capacitation of the Industry

5.6.1 In an effort to ensure that the industry is capacitated to comply with regulatory requirements, the Commission has been conducting training sessions with individual entities on various areas.

5.6.2 Furthermore, an industry wide workshop was also conducted on filing of returns through the SAP system as well as re-registration of funds.

5.7. Pensions Complaints Resolution Report

5.7.1 During the quarter-ended 30 September 2020, the Commission handled 162 complaints in relation to pension matters, out of which 45 were resolved while 117 were yet to be resolved.

The table below depicts the complaints handled during the quarter under review.

Table 4 – Complaints handled by the Commission

Nature of complaints	Number of complaints	% of total
Loss of pension values	65	40%
Unremitted contributions	52	32%
Non-payment of benefits	30	19%
Late payment of benefits	15	9%
Total	162	100%

5.7.2 With regards to loss of value complaints, a Working Group comprising representatives from IPEC, Zimbabwe Association of Pension Funds and the Life Offices Association has been established to review the compensation framework recommended by the Justice Smith-led Commission of Inquiry to facilitate closure on compensation of policyholders and pensioners for the loss of value for the pre-2009 period.

5.7.3 Complaints on non-remittance are at various stages of resolution as some employers have submitted payment plans to their respective fund administrators whilst others have resorted to making part payments. Trustees are urged to ensure liquidation of the contribution arrears as required under Section 26 of the Guideline for the Insurance and Pensions Industry on Adjusting Insurance and Pension

Values in Response to Currency Reforms. Some of the measures trustees can pursue include imposing liens on assets, seizing and selling assets, initiating bankruptcy procedures, and negotiating Certified Repayment Agreements with sponsoring employers. Trustees and sponsoring employers are being urged to be cognisant of the stipulated interest rates to be used on contribution arrears as spelt out in the Guidelines.

5.7.4 Furthermore, trustees should ensure that annual benefit statements are submitted to members so that they are aware of their benefits status and contribution arrears, if any.

5.7.5 Other complaints related to the delays and non-payment of benefits by pension funds, mostly owing to inadequate information on the part of beneficiaries. Pension fund members are advised to regularly update their details, particularly contact details as well as their nominated beneficiaries.

6. Industry Overview

6.1 The key performance indicators for the pensions industry as at 30 September 2020 are as shown in Table 5 below:

Table 5: Key Highlights of the Pensions Industry as at 30 September 2020

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	781	165	15	961
DB	22	16	9	47
DC	759	149	6	914
Active funds	448	129	15	592
Members	353,927	123,089	411,674	888,690.0
Share of total membership	40%	14%	46%	100.00%
Total Income (\$billion)	19,710,385,881	19,967,425,535	19,288,551,511	58,966,362,926
Total Contributions (\$)	706,380,997	1,148,047,480	1,060,696,506	2,915,124,984
Rental Income (\$)	1,965,039	101,368,496	424,851,874	528,185,409
Investment Income	18,846,892,503	16,839,831,063	17,892,652,869	53,579,376,436
Investment Income over total assets	41.56%	59.62%	51.91%	49.59%
Total Expenditure (\$)	649,298,048	817,272,652	714,088,622	2,180,659,322
Total Benefits Incurred (\$)	425,751,084	544,590,625	325,200,170	1,295,541,879
pension benefits per pensioner	11,503.06	13,484.38	6,810.85	8,668.08
Expenses/Contributions	30.71%	20.09%	24.98%	24.44%
Expenses/Total Income	1.10%	1.16%	1.37%	1.21%
Income Surplus(Deficit)	19,061,087,833	19,150,152,883	18,574,462,888	56,785,703,604
Total Assets (\$)	45,344,181,135	28,243,832,374	34,466,348,027	108,054,361,535
Total Assets per member	127,788	220,436	79,687	118,030
Percentage of Total Assets	41.96%	26.14%	31.90%	100.00%
Prescribed Assets (\$)	5,649,742,974	2,892,024,480	418,368,549	8,960,136,003
Prescribed Assets Ratio	12.46%	10.24%	1.21%	8.29%
Contribution Arrears (\$)	113,982,711	219,274,318	944,991,037	1,278,248,066

Notes:

1. Total membership excludes fund beneficiaries (spouse and children of the deceased members).
2. Total Investment income is made up of rental income, dividends, interest on investments, profit on disposal of assets and fair value gains.
3. Total Expenditure for the industry includes benefits paid, transfer to reserves, revaluation losses and provisions.
4. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation losses.

6.2 As shown in above table, there were 961 registered occupational pension funds as at 30 September 2020, compared to 1 094 funds reported as at 30 September 2019.

6.3 The decline in the number of funds was due to data correction by two Life Assurance Companies that were misclassifying participating employers as funds. In response to the observed inconsistencies in the number of registered funds from one quarter to another, the Commission is in the process of finalising re-registration of all pension funds to ensure a credible register. All administrators have also been engaged to ensure proper classification of participating employers in umbrella funds.

6.4 Of the registered funds, 592 were active, which constituted 61.60% of the total number of funds. The decline in active funds was as a result of viability challenges which sponsoring employers are facing, which include Covid-19 induced effects.

6.5 For the period January to September 2020, 26 funds were registered, out of which 22 were full registrations whilst 4 were provisional registrations.

6.1. Membership

6.1.1 The industry's total membership, excluding beneficiaries increased by 11.2% to 888,690 as at 30 September 2020 from 798,828 as at 30 September 2019. The increase was largely attributable to new entrants mainly from life companies administered funds.

6.1.2 Furthermore, the increase in membership was also on account of inclusion of members with unclaimed members that were previously excluded by the Clothing Industry Pension Fund.

6.1.3 The breakdown of membership as at 30 September 2020 and 30 September 2019 is shown in Table 6 below: -

Table 6: Breakdown in Membership

Membership Class	Membership as at ...	
	30 September 2020	30 September 2019
New Entrants	5,331	10,855
Actives	326,956	314,524
Pensioners	35,497	37,288
Deferred Pensioners	353,526	362,233
Suspended Pensioners	12,423	16,113
Unclaimed Benefits	154,957	57,815
Total Membership (excluding beneficiaries)	888,690	798,828
Beneficiaries	25,883	13,777
Total Membership (including beneficiaries)	914,573	812,605
Exits	4,058	10,342

6.1.4 As shown in table 6 above, there was an increase in the number of active members from 314,524 as of 30 September 2019 to 326,956 as at 30 September 2020. The increase was as a result of new members who joined during the period under review.

6.1.5 Given the high number of members with unclaimed benefits, the Commission urges pension funds to be proactive in empowering their members with knowledge on how to timely claim their benefits, through pre-retirement education programmes.

6.1.6 Noting that very low benefits have also been a contributing factor to the unclaimed benefits, the Commission is insisting on allocation of revaluation gains on the unclaimed benefits in line with requirements of the Guidance Paper on Currency Reforms.

6.1.7 The Commission has also launched a search engine on its website onto which information on unclaimed benefits has been uploaded in an effort to inform members of their benefits. Members of the public are being urged to make use of the search engine to trace unclaimed benefits for their loved ones.

6.2. Asset Quality

6.2.1 The industry's asset base increased in nominal terms by 1 043.39% from \$9.45 billion as at 30 September 2019 to \$108.05 billion as at 30 September 2020. The asset base also grew by 62.70% from \$66.41 billion reported as at 30 June 2020.

6.2.2 In real terms, the asset base grew by 14.59% from US\$1.16 billion as at 30 June 2020 to US\$1.33 billion as at 30 September 2020.

6.2.3 The figure below shows the industry asset base trend from September 2019 to 30 September 2020: -

Figure 4: Trend in Industry Assets Growth



6.2.4 The increase in the asset base was mainly driven by an increase in the values of investment properties and quoted equities which accounted for 77.99% of the industry's assets.

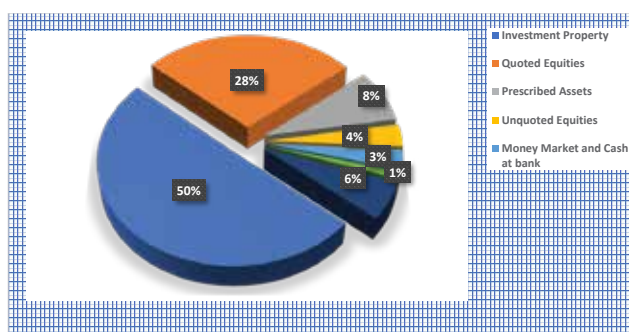
6.2.5 Investment property increased to \$54.35 billion as at 30 September 2020 from \$3.42 billion as at 30 September 2019. The asset class now constitutes 50.30% of the industry total assets, up from 36.16% share of total assets as at 30 September 2019.

6.2.6 The increase in investment property is mainly driven by the need to preserve value for pension scheme members given the prevailing inflationary environment.

6.2.7 The value of investments in quoted equities increased by 706.47% from \$3.71 billion as at 30 September 2019, to \$29.92 billion as at 30 September 2020 notwithstanding suspension of trades of some major counters on the Zimbabwe Stock Exchange.

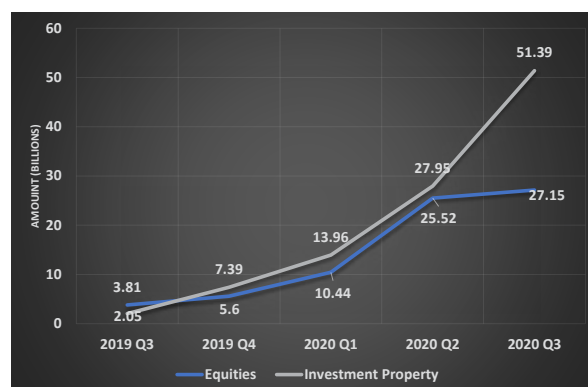
6.2.8 The distribution of the industry's assets as at 30 September 2020 is shown in Figure 5 below: -

Figure 5: Distribution of Pension Industry Assets as at 30 September 2020



6.2.9 Funds' value of investments in equities and investment property has been increasing in absolute terms as shown in Figure 6 below: -

Figure 6: Equities and Investment Property Trend



6.2.10 It should be noted that values of investments in quoted equities have been growing at a decreasing rate since June 2020 on account of the continued suspension of trades on Old Mutual and PPC counters in which most insurers and pension funds are invested. The value of investments in the suspended counters were informed by the last traded share prices prior to the suspension date.

6.2.11 Contribution arrears increased to \$1.28 billion during the period under review from \$0.62 billion as at 30 September 2019. Whilst there was a nominal increase in contribution arrears, the proportion of contribution arrears to total assets declined from 6.52% as at 30 September 2019 to 1.18% as at 30 September 2020, thus indicating the extent to which members are losing value should employers not make good the arrears.

6.2.12 The increase in absolute value of contribution arrears is on account of two main factors namely:-

- Treatment of interest on arrears as per requirements of the Guidance Paper on Currency Reforms which require funds to use the greater of
 - actual rate of return on the fund's asset
 - rate of return on risk free assets; and
 - unsecured overdraft lending rate for the pension fund's bank

b) Continued non-payment of pension contributions by employers due to viability challenges as indicated through an age analysis of the arrears.

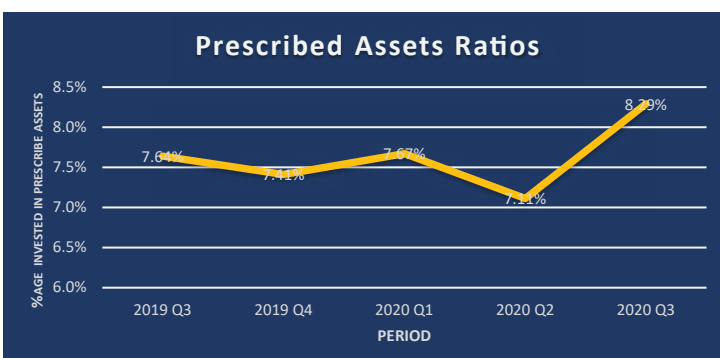
6.2.13 The Commission is concerned about the increase in absolute values of contribution arrears given the negative impact on the adequacy, sustainability, and security of pension schemes. Trustees are, therefore, being urged to do everything in their capacity to recover the arrears, including imposing liens on assets, seizing and selling assets, initiating bankruptcy procedures, and negotiating Certified Repayment Agreements.

6.2.14 There was a nominal increase in the total amount invested in prescribed assets to \$8.96 billion as at 30 September 2020 from \$0.72 billion as at 30 September 2019 as shown in Table 7 below: -

Table 7: Compliance levels for Prescribed Assets

Sector	30 September 2020		30 September 2019	
	Amount (\$b)	Ratio (%)	Amount (\$b)	Ratio (%)
Stand-Alone Funds	0.42	1.21	0.09	3.01
Self-Administered Funds	2.89	10.24	0.41	9.44
Insured	5.65	12.46	0.22	11.06
Total/Average ratio	8.96	8.29%	0.72	7.64%

Figure 7: Prescribed Assets Compliance Level



6.2.15 Notwithstanding the increase in the amounts invested in prescribed assets, the ratio of 8.29% was below the regulatory minimum of 20%. In an effort to improve industry compliance, the Commission reviewed the framework for approving applications by widening the criteria to include private equity and other instruments that ensure value preservation.

6.2.16 The Commission urges the industry to be innovative and come up with value preserving instruments which can be considered for prescribed asset status so that the minimum requirement of 20% can be met. The instruments should be in line with the national developmental thrust as espoused in the National Development Strategy 1 (2021-2025) and the 2021 National Budget Statement. In addition, industry is urged to support Government efforts in mobilising resources for critical developmental projects that will also directly or indirectly benefit pensioners and policyholders.

6.3. Liabilities

6.3.1 Unclaimed benefit liabilities increased significantly by 522.07% from \$32.44 million as at 30 September 2019 to \$201.80 million as at 30 September 2020.

6.3.2 The notable increase was mainly as a result of revaluation gains and previously omitted unclaimed benefits which are now being reported. The Commission calls upon the industry to sanitise their data to improve data integrity. Additionally, the industry is urged to enhance awareness initiatives and come up with measures to track beneficiaries of unclaimed benefits.

6.4. Earnings

6.5.1 Table 8 below indicates the key income and expenditure indicators: -

Table 8: Key Income Indicators

Indicator	September 2020	September 2019
Total Contributions (\$billion)	2.92	0.41
Investment Income (\$billions)	53.58	2.02
Total Income (\$billions)	58.97	2.68
Total Benefits Paid (\$billions)	1.30	0.26
Total Expenditure (\$billions)	2.18	0.34
Expenses to Contribution Ratio	24.44%	23.31%
Expenses/Total Income Ratio	1.21%	3.59%

6.5.2 The income for the period under review was mainly driven by fair value gains and interest from investments amounting to \$50.92 billion. The fair value gains were mainly due to the revaluation of investment properties and listed equities.

6.5.3 Total expenditure increased by 541.18% from \$0.34 billion for the period ended 30 September 2019 to \$2.18 billion for the same period in 2020. The increase was mainly driven by total benefits paid, investment management expenses and administration expenses which accounted for 59.41%, 13.12% and 7.61% respectively.

6.5.4 Expenses to contributions ratio was 24.44%, whilst the expenses to total income ratio was 1.21% for the year ended 30 September 2020, compared to 23.31% and 3.59% in 2019, respectively.

6.5.5 Figures 8 and 9 below show the trend in expense ratios for the period 30 September 2019 to 30 September 2020: -

Figure 8: Expenses to Contribution Ratio

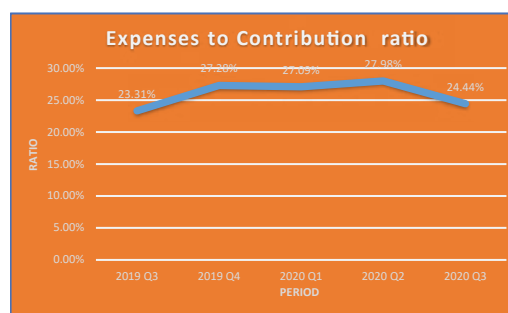
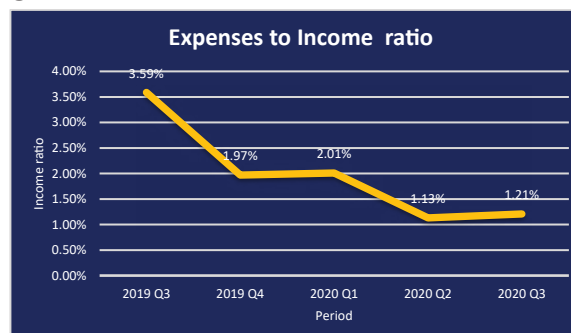


Figure 9: Expenses to Total Income Ratio



6.5.6 Whilst the expense to income ratio for the industry is showing a declining trend, high expense to contribution ratios remain a cause for concern as this has the impact of reducing benefits payable to members.

6.5.7 Meanwhile, the Commission urges the industry to be compliant with Circular 2 of 2020 on Minimum Disclosures, which directs the industry to disclose all costs of the funds in a disaggregated manner. This will inform corrective actions needed to manage expenses within reasonable levels.

7. Insured Schemes

7.1. Sector Architecture

7.1.1 There were 6 life companies administering 781 pension funds as at 30 September 2020, decreasing from 909 reported as at 30 September 2019. The decrease was mainly attributable to some life companies which were reporting participating employers as individual funds.

7.1.2 The distribution of the pension funds among insurers as at 30 September 2020 and 30 September 2019 is shown in Table 9 below:-

Table 9: Distribution of Insured Pension Funds

Life Assurer	30 September 2020	30 September 2019
CBZ Life	6	3
Fidelity Life	38	71
First Mutual Life	124	193
Old Mutual Life	339	328
ZB Life	109	151
Zimnat Life	165	163
Total	781	909

7.1.3 It is important to note that of the 781 insured funds, 448 were active funds constituting only 57.36% of the total insured funds. The high number of inactive funds was attributed to viability challenges faced by the sponsoring employers.

7.2. Membership

7.2.1 Membership of insured funds increased to 353,927 as at 30 September 2020 from 336,650 as at 30 September 2019 as shown in Table 10 below:-

Table 10: Membership Classes

Membership Class	Number of members as at...	
	30 September 2020	30 September 2019
New Entrants	1,377	5,193
Active Members (Excluding new Entrants)	106,381	92,789
Pensioners	7,545	6,751
Deferred Pensioners	226,441	224,634
Suspended Pensioners	2,330	1,531
Members with unclaimed Benefits	9,853	5,752
Total	353,927	336,650
Exits	2,076	7,344

7.2.2 As shown in table 10 above, the increase in membership was mainly driven by new entrants who joined insured schemes from stand-alone and self-administered funds in order to

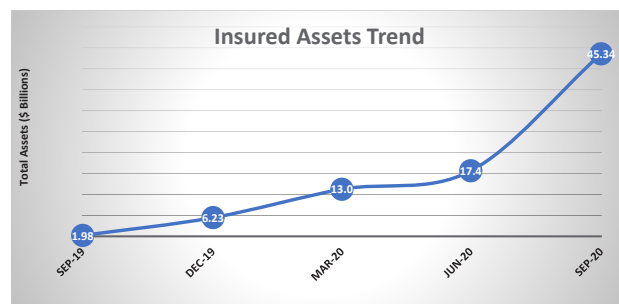
reduce the administration costs associated with the running of such schemes. The Commission urges small funds to join umbrella funds to enjoy the economies of scale.

7.3. Asset Quality

7.3.1 Insured funds reported assets valued at \$45.34 billion as at 30 September 2020, constituting 41.96% of the industry's total assets. The asset base increased by 2 189.90% from \$1.98 billion as at 30 September 2019. The increase in the asset base was mainly due to revaluation of properties which increased by 2 791.08% from \$771.14 million as at 30 September 2019.

7.3.2 The growth of insured fund assets is depicted in figure 10 below:-

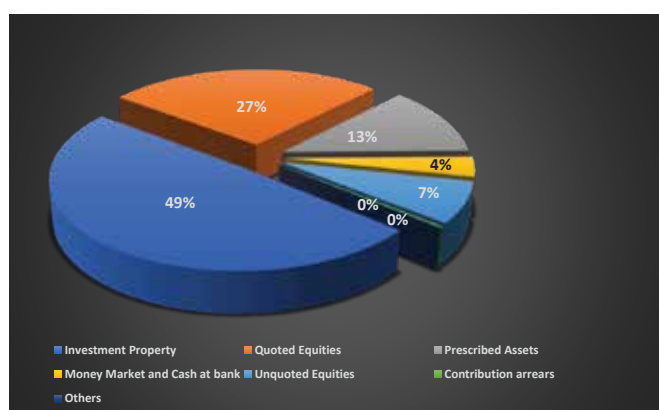
Figure 10: Insured Funds Assets Trend



7.3.3 As shown in figure 10 above, the asset base for insured funds has been on an upward trajectory from 30 September 2019. However, the biggest increase occurred after June 2020, mainly on account of revaluations and inflation following currency reforms.

7.3.4 This resulted in investment property and equities constituting 76.13 % of assets of insured funds' assets. The composition of insured funds' investments is shown in Figure 11.

Figure 11: Composition of Insured fund assets as at 30 September 2020



7.3.5 Investments in prescribed assets totalling \$5.65 billion constituted 12.46% of the sector's total asset base as at 30 September 2020.

7.3.6 The prescribed asset ratio of 13% was below the revised minimum regulatory threshold of 20%. There was a marginal decrease compared to the second quarter compliance ratio of 13.07%.

7.4. Earnings

7.4.1 Insured schemes reported a surplus of \$19.06 billion for the period under review. Insured funds total income grew by 4,185% to \$19.71 billion for the period under review from \$460.23 million for the same period in 2019.

7.4.2 The huge growth in income is largely attributed to fair value gains on equities and interest from investment totalling \$18.81 billion, compared to \$306.64 million in 2019. Interest from investments totalling \$18.22 billion contributed 92.46% of the total income for the period under review.

7.4.3 Insured funds paid \$425.75 million in benefits for the 9 months ended 30 September 2020, constituting 65.57% of the sector's total expenditure of \$649.3 million.

7.4.4 The sector's administrative expenses totalled \$223.55 million and were driven by investment expenses which stood at \$180.78 million and administrator expenses amounting to \$28.31 million.

7.4.5 The administration expenses translated to 30.71% and 1.10% of contributions and total income respectively, as compared to 31.28% and 1.46% for the second quarter in 2020.

7.4.6 The Statements of Comprehensive Income for insured schemes for the 9 months ended 30 September 2020 are shown on Annexure 3.

8. Self-Administered Funds

8.1 Sector Architecture

8.1.1 There were 165 self-administered funds as at 30 September 2020, compared to 169 reported as at 30 September 2019. The decline in the number of self-administered funds was due to the transfer of funds from being self-administered to umbrella funds, thus becoming participating employers.

8.1.2 The number of self-administered pension funds per administrator as at 30 September 2020 are shown in Table below: -

Table 11 : Number of Self-administered Funds

Name of Administrator/Insurer*	30 September 2020	30 September 2019
Professional Administrators		
Capitol Insurance Broker	1	1
Comarton Consultants	25	25
Marsh Employee Benefits	40	42
Minerva Benefit Consulting	63	63
Zimbabwe Insurance Brokers	5	5
Sub-total	134	136
Life Companies		
Fidelity Life Assurance Company	1	1
First Mutual Life Assurance Company	5	4
Old Mutual Life Assurance Company	21	24
Nyaradzo Life Assurance Company	2	2
Zimnat Life Assurance Company	2	2
Sub-total	31	33
Grand Total	165	169

*Not all registered life assurance companies are involved in pension administration.

8.1.3 As shown in Table 11 above, 81.21% of the self-administered pension funds were administered by Fund Administrators, compared to 18.79% under the administration of Life Insurers.

8.1.4 It is also important to note that 103 pension funds, accounting for 62.42% of the total number of self-administered funds, were administered by two Fund Administrators (Minerva Benefit Consulting and Marsh Employee Benefits)

8.2 Membership

Table 12: Distribution of Membership for Self - Administered Funds

Membership Class	30 September 2020	30 September 2019
New Entrants	1,573	2,651
Active Members (excluding new)	73,765	67,485
Pensioners	6,352	6,957
Deferred Pensioners	27,801	32,669
Suspended Pensioners	3,298	2,729
Unclaimed Benefits	10,300	8,365
Total Membership	123,089	120,856
Exits	5,038	2,388

8.2.1 There was an increase in total membership from 120,856 members as at 30 September 2019 to 123,089 as at 30 September 2020.

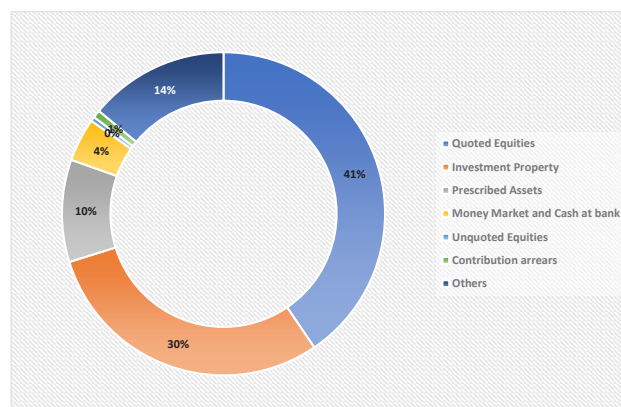
8.2.2 As shown in Table 12 above, the number of members with unclaimed benefits increased from 8,365 as at 30 September 2019 to 10,300 as at 30 September 2020.

8.3 Asset Quality

8.3.1 The sector's asset base increased in nominal terms by 552.19% to \$28.24 billion as at 30 September 2020, from \$4.33 billion as at 30 September 2019. The increase was mainly attributable to revaluation of assets.

8.3.2 Figure 12 below shows the distribution of self-administered funds' assets as at 30 September 2020:

Figure 12 : Distribution of Self-Administered Funds Assets



8.3.3 As shown in Figure 12 above, equities investments and investment property accounted for 70.63% of the total asset base. The value of these two asset classes reflects that investment property is repricing faster than other asset classes.

8.3.4 Investments in prescribed assets increased from \$0.41 billion as at 30 September 2019 to \$2.89 billion during the period under review. The prescribed

assets investments translated to a ratio of 10.24% of total assets compared to 9.44% reported as at 30 September 2019. The prescribed assets ratio of 10.24% is still far below the required minimum regulatory threshold of 20%.

8.3.5 It is also important to note that contribution arrears increased by 170.97% from \$80.92 million as at 30 September 2019 to \$219.27 million as at 30 September 2020, which is an indication of failure by employers to remit pension contributions on time as well as capitalisation of interest on arrears in line with requirements of the Guidance Paper.

8.3.6 The increase in arrear contributions is partially attributed to the impact of Covid 19 lockdown which resulted in the failure to meet obligations by pension funds.

8.3.7 The issue of contribution arrears is of great concern to the Commission given that some funds may end up failing to pay benefits as they fall due. Trustees are being urged to do everything in their capacity to recover the arrears as provided for in section 26 of the Guidance Paper on Currency Reforms.

8.4 Earnings

8.4.1 The total income for the period January to 30 September 2020 was \$19.97 billion compared to \$1.76 billion reported for the same period in 2019. The total income was mainly driven by fair value gains and contributions totalling \$14.45 billion and \$1.15 billion respectively.

8.4.2 Total expenditure was \$817.27 million for the period ending 30 September 2020, having increased by 1 009.07% from \$73.69 million reported during the same period in 2019. Benefits payments constituted 66.64% of the total expenditure.

8.4.3 Administrative expenses totalled \$272.68 million for the period under review, compared to \$6.25 million for the same period in 2019.

8.4.4 Expenses to contributions and total income as at 30 September 2020 was 23.75% and 1.37% respectively, compared to 4.45% and 0.36% for the same period in 2019.

9. Stand-Alone Pension Funds

9.1 Overview of the Stand-Alone Funds Sector

9.1.1 The number of Stand-alone funds for the period under review dropped to 15 schemes from 16, which were reported as at 30 September 2019.

9.2 The sector now comprises 9 defined contribution schemes, and 6, parastatal affiliated, defined benefit schemes following the dissolution of the Pentact Pension Fund as a stand-alone and its subsequent transfer to an umbrella fund as a participating employer.

9.3 Membership

9.3.1 Total membership (excluding beneficiaries) for stand-alone pension funds increased by 20.61% from 341,327 members, as at 30 September 2019 to 411,674 members as at 30 September 2020.

9.3.2 The increase in membership was largely attributable to the additional 70,000 members, during the first quarter of 2020, from the Clothing industry Pension Fund who were unaccounted for under unclaimed benefits.

9.3.3 The distribution of membership by class as at 30 September 2019 and 30 September 2020 is shown in Table 13 below:-

Table 13: Membership Statistics for Stand-Alone Pension Funds

Membership category	Q3 2020	Q3 2019
New Entrants	2,381	3,011
Active members (excluding new entrants)	146,810	154,250
Pensioners (Excluding beneficiaries)	21,600	23,580
Deferred Pensioners	99,284	104,930
Suspended Pensioners (Excluding beneficiaries)	6,795	11,858
Unclaimed benefits (number)	134,804	43,698
Totals (Excluding Beneficiaries)	411,674	341,327
Beneficiaries	20,845	9,930
Totals (Including Beneficiaries)	432,519	351,257
Exits	674	610

9.3.4 The increase in unclaimed benefits calls for more to be done to raise awareness on unclaimed benefits given the high number of members.

9.4 Asset Base

9.4.1 Stand-Alone pension funds' assets increased by 997.77% from \$3.14 billion as at 30 September 2019 to \$34.47 billion as at 30 September 2020. The increase in the asset base was mainly due to an increase in the values of assets due to revaluations.

9.4.2 The movements across the various asset categories are shown in table 14 below:-

Table 14: Movement in Stand-alone Investments

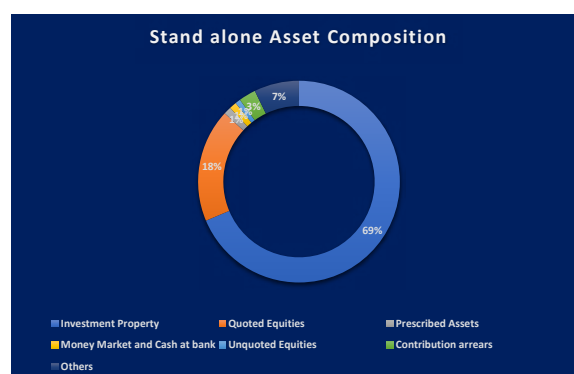
Asset Category	Q3 2020	Q3 2019	Percentage Change	As a % of Total Assets	
				Q3 2020	Q3 2019
Investment Property	23,671.20	1,300.37	1720.34%	68.68%	41.40%
Equities	6,550.53	815.50	703.25%	19.01%	25.97%
Contribution arrears	944.99	493.68	91.42%	2.74%	15.72%
Cash and Money Market	397.71	144.82	174.62%	1.15%	4.61%
Prescribed Assets	418.37	94.59	342.29%	1.21%	3.01%
Others	2,483.55	291.71	751.38%	7.21%	9.29%
Total	34,466.36	3,140.67	997.42%		

9.4.3 Property and equity investments continued to be priority investments with positive changes from the last quarter of 1 720.34% and 703.25% respectively.

9.4.4 Though investment in equities increased from \$815.5 billion as at 30 September 2019 to \$6 550.53 billion as at 30 September 2020, their relative stake to the total assets decreased from 25.97% to 19.01%. This is partly attributed to the suspension of the Zimbabwe Stock Exchange from 26 June 2020 to 2 August 2020 and continued suspension of some major ZSE counters whose effect is to undermine the values of the suspended counters in an inflationary environment.

9.4.5 The distribution of the assets for the stand-alone funds as at 30 September 2020 is shown in Figure 13 below.

Figure 13: Distribution of Assets for Stand Alone Funds as at 30 September 2020



9.4.6 As indicated in Figure 13, investment properties and quoted equities accounted for 86.84% of the total asset base for stand-alone pension funds.

9.4.7 Investment in prescribed assets increased to \$418.37 million as at 30 September 2020, compared to

\$94.59 million in the previous year.

9.4.8 However, the prescribed assets ratio for stand-alone funds decreased to 1.21% from 3.01%, in the previous year.

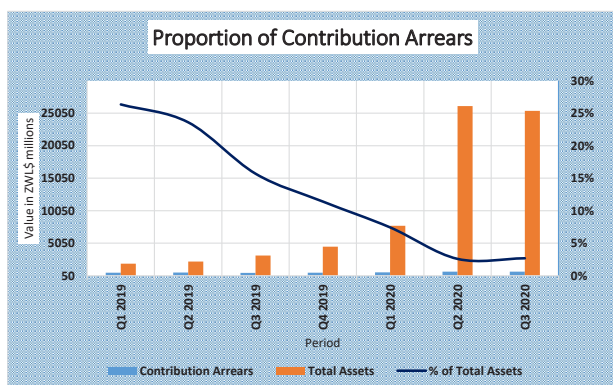
9.4.9 The Commission therefore urges the industry to move towards the 20% statutory minimum ratio of 20%.

9.4.10 Contribution arrears for stand-alone funds increased by 91.42% to \$944.99 million as at 30 September 2020 from \$493.68 million recorded as at 30 September 2019.

9.4.11 However, the proportion of contribution arrears to total assets declined to 2.74% from 15.72% recorded in the previous year.

9.4.12 The ratio of contribution arrears to total assets has, however, significantly reduced compared to earlier periods due to the revaluation of assets as shown in the figure 14 below: -

Figure 14: Contribution Arrears to Total Assets



9.4.13 Other asset classes such as investment property and quoted equities have been revaluing at a faster pace than contribution arrears. As a result, the proportion of contribution arrears to total assets has been declining, which is reflective of loss of value to pensioners should they remain outstanding.

9.5 Earnings

9.5.1 Stand-alone pension funds reported a surplus for the period up to September 2020 amounting to \$18.57 billion, compared to \$0.32 billion recorded in the corresponding period of 2019.

9.5.2 The total income for the period was \$19.29 billion compared to \$0.43 billion reported in the same period in 2019. The total income was mainly driven by unrealised gains and contributions, which accounted for 89.48% and 5.5% respectively.

9.5.3 Total expenditure was \$714.09 million, an increase of 636.5% from \$112.19 million recorded in the corresponding period in the previous year.

9.5.4 Monthly benefits payments accounted for only 45.54% of total expenditure, compared to a share of 50.58% recorded for the corresponding period in 2019.

9.5.5 Administrative expenditure constituted 54.46% of total expenditure. The major cost drivers of administrative expenditure were staff costs and administrator expenses which constituted 22.05% and 19.84% of administrative expenditure respectively.

10. Conclusion

The Commission wishes to commend players who are submitting returns on time as this facilitates the production of the quarterly reports. Those who have not been compliant are urged to comply.

To this end, players are urged to take note of concerns and recommendations made in this report and act accordingly.

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the 9 months ended September 2020

	Insured Funds	Self Administered Funds	Stand Alone Funds	Total
Income				
Year to date Contributions (Including arrears)	706,380,997	1,148,047,480	1,060,696,506	2,915,124,984
Interest on contribution arrears	-	1,265	89,822,911	89,824,175
Transfer from other funds	354,175,242	27,750,018	-	381,925,260
Transfer to other funds	(162,341,986)	(14,447,335)	(819,548)	(177,608,869)
Rental Income	1,965,039	101,368,496	424,851,874	528,185,409
Interest from Investments	18,224,343,152	373,865,543	31,397,462	18,629,606,157
Dividends from investments	6,018,916	807,649,035	40,153,523	853,821,473
GLA Premiums received	1,292,735	4,833,807	2,566,688	8,693,230
GLA Premiums (paid)	(36,192,250)	(38,922,956)	(396,470)	(75,511,675)
Profit/ (losses) on disposals investments	33,513,121	1,108,012,678	136,295,741	1,277,821,540
Fair value gains (Losses)	581,052,276	14,448,935,311	17,259,954,268	32,289,941,855
Other income : 1) Specify	178,640	2,000,332,191	244,028,554	2,244,539,385
Total Income	19,710,385,881	19,967,425,535	19,288,551,511	58,966,362,926
EXPENDITURE				
Benefits				
Year to date pension benefits	97,269,864	153,587,073	289,086,533	539,943,471
Retrenchments and retirements	69,774,677	199,922,066	13,692,180	283,388,922
Resignations, dismissals	103,221,513	89,427,009	9,111,821	201,760,342
Full commutations	132,983,762	5,918,328	1,570,626	140,472,716
Part commutations paid after initial 1/3 cor	3,487	33,425,022	4,585,131	38,013,640
Death benefits	17,240,974	19,044,093	3,047,974	39,333,042
Disability benefits	-	198,829	-	198,829
GLA Benefits	5,225,568	31,939,910	442,959	37,608,438
Other Benefits	31,239	11,128,294	3,662,946	14,822,479
Total Benefits	425,751,084	544,590,625	325,200,170	1,295,541,879
Administrative Expenses				
Commissions/Deductions to NEC	111,170	67,467	199,851	378,488
Staff costs	-	-	85,761,679	85,761,679
Admin Expenses	28,305,746	60,455,902	77,144,520	165,906,167
Investment Management Expenses	180,783,878	93,497,204	11,863,586	286,144,669
Actuarial fees	95,000	11,064,697	7,434,657	18,594,354
Audit fees	-	11,296,824	6,109,410	17,406,235
Legal fees	-	296,463	2,082,333	2,378,797
Board Expenses	-	1,454,192	7,064,967	8,519,159
IPEC Levies	4,469,742	4,107,946	9,823,526	18,401,214
Bank Charges	686,778	3,894,037	12,836,905	17,417,720
Sundry expenses	76,586	12,341,464	107,456	12,525,506
Subscriptions i.e. ZAPF	603,715	1,291,298	734,302	2,629,315
Property Expenses	400,994	18,329,794	39,989,572	58,720,360
Transfer to reserves	6,642,212	12,581,311	-	19,223,524
Asset devaluation expenses (depreciation	-	29,295,295	24,135,779	53,431,074
Provision for bad debts	-	118,824	99,839,222	99,958,046
Other Expenses:1)Specify	1,371,143	12,589,307	3,760,688	17,721,138
Total Administrative Expenditure	223,546,964	272,682,027	388,888,452	885,117,443
Total Expenditure	649,298,048	817,272,652	714,088,622	2,180,659,322
Surplus / (Deficit)	19,061,087,833	19,150,152,883	18,574,462,888	56,785,703,604

Annexure 2: Consolidated Industry Statement of Financial Position as at 30 September 2020

	Insured Funds	Self Administered Funds	Standalone Funds	Total
ASSETS				
Operating Assets				
Property	-	72,819,851	97,515,512	170,335,363
Motor vehicles	-	-	11,542,632	11,542,632
Computer Hardware and Software	-	-	13,756,573	13,756,573
Office furniture and fittings	-	-	2,439,518	2,439,518
Other Operating Assets : (Specify)	-	373,687	2,591,699	2,965,386
Total operating assets	-	73,193,538	127,845,934	201,039,472
Investment Assets (Non- Current)				
Investment Property	22,294,294,368	8,383,772,461	23,671,204,354	54,349,271,184
Equities - Quoted	12,226,476,477	11,438,701,982	6,258,658,388	29,923,836,846
- Unquoted	3,381,709,639	126,099,451	291,875,101	3,799,684,192
Prescribed Assets - Government Stock	16,426,100	267,842,675	11,118,857	295,387,631
- Other prescribed assets	5,488,997,106	2,273,593,280	396,232,099	8,158,822,485
Fixed interest securities e.g. bonds and debentures	7,628,451	16,289,626	29,074,394	52,992,471
Loans and/or Mortgages on Property (excluding staff)	3,414,047	3,516,577	35,854,935	42,785,558
Staff loans and Mortgages	43,965	7,648,341	6,957,737	14,650,043
Long-term deposits	-	32,317,305	104,986,423	137,303,728
Other non-current assets :(Specify)	28,649,327	3,526,068,559	1,904,198,284	5,458,916,170
Total non-current investment assets	43,447,639,480	26,075,850,258	32,710,160,571	102,233,650,309
Investment Assets (Current)				
Prescribed Assets - Government Stock	-	154,668,644	7,223,642	161,892,286
- Other prescribed assets	144,319,769	195,919,882	3,793,952	344,033,602
Fixed interest securities	-	12,346,907	-	12,346,907
Cash at Bank	1,236,160,433	477,724,611	307,480,664	2,021,365,708
Money Market investments	402,255,404	747,726,904	90,224,240	1,240,206,548
Staff loans	-	1,090,270	4,924,727	6,014,997
Other short term loans	-	12,929	-	12,929
Dividends and interest receivable	(177,696)	2,277,662	21,817,016	23,916,982
Other current assets(Consumable Stock)	1,036	269,666,820	79,448,719	349,116,575
Total current investment assets	1,782,558,944	1,861,434,629	514,912,959	4,158,906,533
Contribution arrears	113,982,711	219,274,318	944,991,037	1,278,248,066
Rental arrears (Age analysis on Debtors form)	-	14,079,630	168,437,526	182,517,156
TOTAL ASSETS	45,344,181,135	28,243,832,374	34,466,348,027	108,054,361,535
LIABILITIES				
Reserves: Active members	1,923,772,249	405,853	3,288,725,816	5,212,903,918
Reserves: Deferred pensioners	87,195,443	3,426,553	1,542,025,182	1,632,647,178
Reserves: Unclaimed benefits	130,387,852	44,563,324	26,848,484	201,799,660
Other Reserves: Specify	-	6,827,478	5,514,384,037	5,521,211,515
Provisions: Withdrawals	5,497,045	45,654,410	1,092,983	52,244,438
Provisions:Contribution arrears	-	241,211	189,865,784	190,106,995
Provisions: Other Bad debts	-	-	13,503,407	13,503,407
Provisions: Leave Pay	-	-	4,160,377	4,160,377
Provisions:Rental arrears	-	100,000	31,482,465	31,582,465
Other Provisions: Specify	-	28,559,955	217,004,518	245,564,473
Arrear pension benefits	-	595,603,736	35,104,972	630,708,708
Sundry Creditors	-	78,595,188	87,231,087	165,826,275
Other Creditors (specify)	239,041	143,880,012	403,038,266	547,157,318
TOTAL LIABILITIES	2,147,091,629	947,857,719	11,354,467,379	14,449,416,727
NET ASSETS	43,197,089,505	27,295,974,654	23,111,880,649	93,604,944,808
Prescribed Asset	5,649,742,973.92	2,892,024,479.82	418,368,549.43	8,960,136,003.18
Prescribed Asset /Total Assets	12.46%	10.24%	1.21%	8.29%

Annexure 3: Consolidated Statement of Comprehensive Income for Insured Schemes per Insurer for the 9 months ended 30 September 2020

	CBZ Life	Fidelity Life	First Mutual Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Income							
Year to date Contributions (Including arrears)	1,756,582	13,861,996	45,321,483	572,743,753	17,760,739	54,936,443	706,380,997
Interest on contribution arrears	-	-	-	-	-	-	-
Transfer from other funds	5,447,197	-	-	348,714,425	-	13,620	354,175,242
Transfer to other funds	-	-	-	(162,341,986)	-	-	(162,341,986)
Rental Income	-	28,592	-	-	1,096,746	839,701	1,965,039
Interest from Investments	-	-	-	18,220,619,403	276,065	3,447,684	18,224,343,152
Dividends from investments	-	-	-	3,132,541	960,301	1,926,074	6,018,916
GLA Premiums received	242,937	1,049,798	-	-	-	-	1,292,735
GLA Premiums (paid)	(242,937)	-	(1,302,267)	(34,647,046)	-	-	(36,192,250)
Profit/ (losses) on disposals investments	-	-	-	-	-	33,513,121	33,513,121
Fair value gains (Losses)	-	21,429,984	-	201,293,058	235,777,297	122,551,938	581,052,276
Other income : 1) Specify	178,640	-	-	-	-	-	178,640
Total Income	7,382,418	36,370,370	44,019,216	19,149,514,149	255,871,148	217,228,580	19,710,385,881
EXPENDITURE							
Benefits							
Year to date pension benefits	414,210	-	62,887	96,781,281	-	11,486	97,269,864
Retrenchments and retirements	-	-	1,457,940	66,545,989	1,770,747	-	69,774,677
Resignations, dismissals	24,477	-	1,990,642	95,795,997	3,291,744	2,118,652	103,221,513
Full commutations	-	4,260,227	105	126,197,312	-	2,526,118	132,983,762
Part commutations paid after initial 1/3 com	3,487	-	-	-	-	-	3,487
Death benefits	-	-	-	16,508,416	22,784	709,774	17,240,974
Disability benefits	-	-	-	-	-	-	-
GLA Benefits	-	162,347	-	(3,189,559)	653,750	7,599,030	5,225,568
Other Benefits:1)Specify	31,239	-	-	-	-	-	31,239
Total Benefits	473,414	4,422,573	3,511,574	398,639,436	5,739,025	12,965,061	425,751,084
Administrative Expenses							
Commissions/Deductions to NEC	111,170	-	-	-	-	-	111,170
Staff costs	-	-	-	-	-	-	-
Admin Expenses	155,622	776,174	2,555,052	21,127,422	606,551	3,084,925	28,305,746
Investment Management Expenses	-	3,482	74,736	155,927,366	22,684,483	2,093,813	180,783,878
Actuarial fees	-	95,000	-	-	-	-	95,000
Audit fees	-	-	-	-	-	-	-
Legal fees	-	-	-	-	-	-	-
Board Expenses	-	-	-	-	-	-	-
IPEC Levies	-	288,817	552,000	1,682,000	53,169	1,893,757	4,469,742
Bank Charges	-	-	2,697	-	-	684,082	686,778
Sundry expenses	-	-	76,586	-	-	-	76,586
Subscriptions i.e. ZAPF	-	38,424	-	240,959	151,952	172,380	603,715
Property Expenses	-	-	-	-	-	400,994	400,994
Transfer to reserves	6,642,212	-	-	-	-	-	6,642,212
Asset devaluation expenses (depreciation a	-	-	-	-	-	-	-
Provision for bad debts	-	-	-	-	-	-	-
Other Expenses:1)Specify	-	1,049,798	-	-	321,345	-	1,371,143
Total Administrative Expenditure	6,909,005	2,251,694	3,261,070	178,977,746	23,817,499	8,329,951	223,546,964
Total Expenditure	7,382,418	6,674,267	6,772,644	577,617,182	29,556,524	21,295,012	649,298,048
Surplus / (Deficit)	(0)	29,696,102	37,246,572	18,571,896,967	226,314,624	195,933,568	19,061,087,833
Admin expenses /total income							1.13%
Other expenses /total contributions							31.65%

Annexure 4: Consolidated Statement of Financial Position for Insured Schemes per Insurer as at 30 September 2020

	CBZ Life	Fidelity Life	First Mutual Life	Old Mutual Life	ZB Life	Zimnat Life	Total
ASSETS							
Investment Assets (Non- Current)							
Investment Property	-	378,298,865	426,609,018	21,260,781,677	72,936,435	155,668,372	22,294,294,368
Equities - Quoted	17,500,459	343,459,130	334,906,496	11,117,685,350	188,971,527	223,953,514	12,226,476,477
- Unquoted	-	1,462,480,255	21,193,425	1,797,092,966	76,038,050	24,904,943	3,381,709,639
Prescribed Assets - Government Stock	-	-	9,296,238	26,181	7,103,681	-	16,426,100
- Other prescribed	-	454,696,093	274,879,438	4,759,018,732	402,843	-	5,488,997,106
Fixed interest securities e.g. bonds and	-	-	7,628,451	-	-	-	7,628,451
Loans and/or Mortgages on Property	-	-	-	-	-	3,414,047	3,414,047
Staff loans and Mortgages	-	-	-	-	43,965	-	43,965
Long-term deposits	-	-	-	-	-	-	-
Other non-current assets :(Specify)	-	-	-	-	24,066,170	4,583,157	28,649,327
Total non-current investment assets	17,500,459	2,638,934,343	1,074,513,067	38,934,604,907	369,562,671	412,524,033	43,447,639,480
Investment Assets (Current)							
Prescribed Assets - Government Stock	-	-	-	-	-	-	-
- Other prescribed	-	-	-	-	-	144,319,769	144,319,769
Fixed interest securities	-	-	-	-	-	-	-
Cash at Bank	291,670	-	-	1,235,868,763	-	-	1,236,160,433
Money Market investments	-	22,630,171	18,395,333	356,817,665	1,132,139	3,280,096	402,255,404
Staff loans	-	-	-	-	-	-	-
Other short term loans	-	-	-	-	-	-	-
Dividends and interest receivable	-	-	2,262,688	-	(2,440,384)	-	(177,696)
Other current assets(Consumable	-	-	-	-	1,036	-	1,036
Total current investment assets	291,670	22,630,171	20,658,020	1,592,686,427	(1,307,209)	147,599,864	1,782,558,944
Contribution arrears (Age analysis on Debtors form)	-	1,712,033	15,885,718	95,139,351	-	1,245,609	113,982,711
Rental arrears (Age analysis on Debtors form)	-	-	-	-	-	-	-
TOTAL ASSETS	17,792,129	2,663,276,547	1,111,056,805	40,622,430,685	368,255,462	561,369,506	45,344,181,135
LIABILITIES							
Reserves: Active members	-	902,354,871	303,551,168	-	254,963,371	462,902,839	1,923,772,249
Reserves: Deffered pensioners	-	-	37,111,032	-	-	50,084,411	87,195,443
Reserves: Unclaimed benefits	-	79,914	14,893,953	110,521,080	3,050,843	1,842,061	130,387,852
Other Reserves: Specify	-	-	-	-	-	-	-
Other Reserves: Specify	-	-	-	-	-	-	-
Other Reserves: Specify	-	-	-	-	-	-	-
Provisions: Withdrawals	-	-	5,497,045	-	-	-	5,497,045
Provisions:Contribution arrears	-	-	-	-	-	-	-
Provisions: Other Bad debts	-	-	-	-	-	-	-
Provisions: Leave Pay	-	-	-	-	-	-	-
Provisions:Rental arrears	-	-	-	-	-	-	-
Other Provisions: Specify	-	-	-	-	-	-	-
Other Provisions: Specify	-	-	-	-	-	-	-
Other Provisions: Specify	-	-	-	-	-	-	-
Arrear pension benefits	-	-	-	-	-	-	-
Sundry Creditors	-	-	-	-	-	-	-
Other Creditors (specify)	-	-	239,041	-	-	-	239,041
TOTAL LIABILITIES	-	902,434,785	361,292,238	110,521,080	258,014,214	514,829,312	2,147,091,629
NET ASSETS	17,792,129	1,760,841,762	749,764,567	40,511,909,605	110,241,248	46,540,194	43,197,089,505

Annexure 5: Consolidated Statement of Comprehensive Income for Self-Administered Pension Funds for the 9 Months ended 30 September 2020

	Capitol Insurance Brokers	Comarion Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minevra Benefits Consulting	Nyaradzo Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimnat Life Assurance Company	Total
Income											
Year to date Contributions (Including	164,781	78,282,508	-	41,537,967	141,829,636	501,343,675	10,197,243	368,462,177	384,217	5,845,277	1,148,047,480
Interest on contribution arrears	-	-	-	-	1,265	-	-	-	-	-	1,265
Transfer from other funds	-	3,150,280	-	-	1,150,645	23,275,334	2,444	171,315	-	-	27,750,018
Transfer to other funds	-	(278,482)	-	-	(14,962,985)	-	-	794,132	-	-	(14,447,335)
Rental Income	195,080	5,160,912	-	1,702,511	15,648,856	53,689,837	-	24,813,234	157,092	975	101,368,496
Interest from Investments	-	1,263,735	16,482	249,901	26,409,350	121,221,457	178,433	224,464,042	38,640	23,503	373,865,543
Dividends from investments	-	27,147,093	29,189	1,917,191	15,479,495	72,956,515	401,458	689,477,677	18,410	222,005	807,649,035
GLA Premiums received	-	1,583,657	-	-	1,546,390	-	1,284,539	253,792	165,430	-	4,833,807
GLA Premiums (paid)	-	(7,711,658)	-	(2,932,437)	(10,858,830)	-	(1,284,539)	(16,135,492)	-	-	(38,922,956)
Profit/ (losses) on disposals investment	-	20,409,793	9,932,263	33,460,432	449,416,566	503,668,912	-	87,589,387	189,034	3,346,292	1,108,012,678
Fair value gains (Losses)	-	77,779,040	-	176,671,865	2,674,015,727	7,460,309,422	116,711,152	3,834,681,098	8,248,001	100,519,006	14,448,935,311
Other income : 1) Specify	-	2,530,994	-	442,124,054	1,198,384	354,399,448	2,806,537	1,195,424,474	18,343	1,829,957	2,000,332,191
Total Income	359,861	209,317,872	9,977,934	694,731,484	3,300,874,498	9,090,864,601	130,297,267	6,409,995,836	9,219,167	111,787,014	19,967,425,535
		2,530,994									
EXPENDITURE											
Benefits											
Year to date pension benefits	160,000	10,826,758	-	10,393	4,234,068	137,326,148	282,900	746,806	-	-	153,587,073
Retirements and retirements	-	2,195,434	-	29,468	14,024,396	13,355,711	-	170,058,766	35,616	222,675	199,922,066
Resignations, dismissals	-	784,905	13,233	3,738,578	10,560,814	15,724,100	-	58,454,585	-	150,794	89,427,009
Full commutations	-	354,381	-	-	1,781,826	3,316,134	-	465,988	-	-	5,918,328
Part commutations paid after initial 1/	-	-	232,125	-	57,281	33,048,068	-	-	87,549	-	33,425,022
Death benefits	-	304,481	26,062	-	2,067,249	5,385,610	-	11,243,923	16,769	-	19,044,093
Disability benefits	-	-	-	-	198,829	-	-	-	-	-	198,829
GLA Benefits	-	124,443	-	-	2,462,589	28,676,098	-	676,780	-	-	31,939,910
Other Benefits:1)Specify	-	6,026,278	-	-	13,626	428,085	-	4,452,490	207,816	-	11,128,294
Total Benefits	160,000	20,616,680	271,420	3,778,439	35,400,677	237,259,954	282,900	246,099,338	347,749	373,469	544,590,625
Administrative Expenses											
Commissions/Deductions to NEC	-	-	-	-	454	-	-	980	-	66,032	67,467
Staff costs	-	-	-	-	-	-	-	-	-	-	-
Admin Expenses	2,000	11,884,216	10,800	1,477,254	7,559,046	28,041,258	1,167,100	9,961,286	36,585	316,357	60,455,902
Investment Management Expenses	-	5,919,801	21,173	3,645,809	13,834,063	43,002,765	55,015	26,742,450	78,142	197,986	93,497,204
Actuarial fees	-	1,485,215	-	566,256	2,746,211	5,019,588	530,000	582,377	30,050	105,000	11,064,697
Audit fees	-	1,264,829	159,600	826,076	893,959	6,903,890	415,000	724,845	-	108,625	11,296,824
Legal fees	-	46,583	-	-	124,089	-	-	125,791	-	-	296,463
Board Expenses	-	1,045,945	-	-	236,430	161,988	5,029	3,600	1,200	-	1,454,192
IPEC Levies	-	285,814	75,271	483,461	840,683	1,620,642	-	709,113	55,645	37,318	4,107,946
Bank Charges	4,500	724,321	5,283	407,208	935,804	1,219,646	19,977	560,336	13,193	3,770	3,894,037
Sundry expenses	-	357,401	-	171,291	716,845	11,027,286	(197)	68,838	-	-	12,341,464
Subscriptions i.e. ZAPF	-	89,428	13,260	70,400	228,607	746,247	-	116,836	-	26,520	1,291,298
Property Expenses	100,767	1,595,801	-	181,797	3,280,831	9,681,743	-	3,488,855	-	-	18,329,794
Transfer to reserves	-	-	-	-	12,581,311	-	-	-	-	-	12,581,311
Asset devaluation expenses (deprec	-	2,696	-	-	-	29,292,600	-	-	-	-	29,295,295
Provision for bad debts	-	-	-	-	118,824	-	-	-	-	-	118,824
Other Expenses:1)Specify	-	1,085,772	4,261	257,808	5,183	8,005,171	9,894	3,097,213	99,783	24,222	12,589,307
Total Administrative Expenditure	107,267	25,787,822	289,648	8,087,359	44,102,341	144,722,824	2,201,819	46,182,519	314,598	885,829	272,682,027
Total Expenditure	267,267	46,404,502	561,069	11,865,797	79,503,018	381,982,778	2,484,718	292,281,857	662,347	1,259,298	817,272,652
Surplus / (Deficit)	92,594	162,913,370	9,416,866	682,865,686	3,221,371,480	8,708,881,823	127,812,549	6,117,713,979	8,556,820	110,527,715	19,150,152,883

Annexure 6: Consolidated Statement of Financial Position for Self-Administered Pension Funds as at 30 September 2020

ASSETS	Capita Insurance Brokers	Comarion Consultants	Fidelity Life Assurance Company	First Mutual Life Assurance	Marsh Employee Benefits	Minerva Benefits Consulting	Nyandao Life Assurance Company	Old Mutual Life Assurance Company	Zimbabwe Insurance Brokers	Zimtel Life Assurance Company	Total
Operating Assets											
Property	64,800,000	-	1,100,000	-	-	-	-	6,919,851	-	-	72,819,851
Motor vehicles	-	-	-	-	-	-	-	-	-	-	-
Computer Hardware and Software	-	-	-	-	-	-	-	-	-	-	-
Office furniture and fittings	-	-	-	-	-	-	-	-	-	-	-
Other Operating Assets : (Specify)	-	-	-	-	-	105,985	-	267,702	-	-	373,687
Total operating assets	64,800,000	-	1,100,000	-	-	105,985	-	7,187,553	-	-	73,193,538
Investment Assets (Non- Current)											
Investment Property	-	773,990,029	2,507,650	247,755,382	1,581,507,870	2,854,440,433	1,367,364	2,858,731,264	2,226,790	61,245,679	8,383,772,461
Equities - Quoted	938,134	1,530,550,312	6,179,836	410,915,128	1,883,496,740	4,847,905,273	130,161,606	2,571,586,390	7,771,267	49,197,294	11,438,701,982
- Unquoted	-	28,551,246	-	-	30,700,783	27,455,207	-	38,320,896	-	1,071,319	126,099,451
Prescribed Assets - Government Stock	-	70,000	64,663	1,266,871	114,290,147	-	-	152,150,993	-	-	267,842,475
- Other prescribed assets	-	29,806,752	931,770	3,882,277	201,510	1,296,006,149	-	942,764,822	-	-	2,273,593,280
Fixed interest securities e.g. bonds and debentures	-	1,069,903	-	90,723	5,792,909	8,988,453	37,379	310,260	-	-	16,289,626
Loans and/or Mortgages on Property (excluding Staff loans and Mortgages)	-	-	-	750,000	-	2,766,577	-	-	-	-	3,516,577
Long-term deposits	-	-	-	-	6,356,058	500,000	-	-	-	792,283	7,648,341
Other non-current assets :(Specify)	-	-	-	138,825,581	3,344,774	28,970,830	-	-	-	1,701	32,317,305
Total non-current investment assets	938,134	2,364,038,241	9,683,919	803,485,962	3,683,510,963	12,014,142,045	131,566,349	6,946,178,308	9,998,058	112,308,277	26,075,850,258
Investment Assets (Current)											
Prescribed Assets - Government Stock	-	-	-	-	112,312,015	-	-	42,356,629	-	-	154,668,644
- Other prescribed assets	-	36,949,549	-	-	253,485	-	16,447,582	116,737,303	52,789	25,479,174	195,919,882
Fixed interest securities	-	-	-	12,074,692	146,120	-	-	126,080	15	-	12,346,907
Cash at Bank	104,454	26,817,025	433,025	9,477,643	24,299,891	109,671,523	3,725,956	298,271,800	13,717	4,909,579	477,724,611
Money Market investments	-	42,985,875	361,055	2,972,330	46,733,938	539,130,164	1,132,833	114,236,294	7,106	167,310	747,726,904
Staff loans	-	1,090,270	-	-	-	-	-	-	-	-	1,090,270
Other short term loans	-	-	-	-	12,929	-	-	-	-	-	12,929
Dividends and interest receivable	-	1,016,788	-	12,375	955,861	292,639	-	-	-	-	2,277,662
Other current assets(Consumable Stock)	-	83,249	213	67,963,680	7,298,668	185,584,819	-	8,646,190	90,002	-	269,666,820
Total current investment assets	104,454	108,942,755	794,293	92,500,719	192,012,907	834,679,144	21,306,371	580,374,295	163,628	30,556,063	1,861,434,629
Contribution arrears (Age analysis on Debtors form)	-	31,746,155	316,820	26,125,264	39,358,558	79,962,671	2,650,291	37,911,693	996,228	206,638	219,274,318
Rental arrears (Age analysis on Debtors form)	-	-	-	34,718	2,353,075	4,754,322	-	6,937,516	-	-	14,079,630
TOTAL ASSETS	65,842,588	2,504,727,152	11,895,032	922,146,663	3,917,235,502	12,933,644,167	155,523,011	7,578,589,366	11,157,914	143,070,978	28,243,832,374
LIABILITIES											
Reserves: Active members	-	-	-	-	-	-	-	299,339	106,514	-	405,853
Reserves: Deferred pensioners	-	-	-	1,524,522	-	1,283,049	-	618,982	-	-	3,426,553
Reserves: Unclaimed benefits	-	169,272	-	10,688,251	11,946,748	-	50,421	21,426,156	88,192	194,283	44,563,324
Other Reserves: Specify	-	-	-	-	-	-	-	6,827,478	-	-	6,827,478
Provisions: Withdrawals	-	2,460,229	-	(2,179,987)	-	24,504,766	-	20,869,402	-	-	45,654,410
Provisions:Contribution arrears	-	241,211	-	-	-	-	-	-	-	-	241,211
Provisions: Other Bad debts	-	-	-	-	-	-	-	-	-	-	-
Provisions: Leave Pay	-	-	-	-	-	-	-	-	-	-	-
Provisions:Rental arrears	-	100,000	-	-	-	-	-	-	-	-	100,000
Other Provisions: Specify	-	2,343,039	10,795,032	3,159,307	-	11,119,753	965,000	177,823	-	-	28,559,955
Arrear pension benefits	-	3,311,348	-	-	-	592,292,388	-	-	-	-	595,603,736
Sundry Creditors	-	4,360,980	-	93,719	-	69,197,467	-	4,923,357	19,664	-	78,595,188
Other Creditors (specify)	-	222,489	-	312,897	-	138,168,290	869,693	4,303,202	3,441	-	143,880,012
TOTAL LIABILITIES	-	13,208,568	10,795,032	13,598,710	11,946,748	836,565,714	1,885,114	59,445,739	217,812	194,283	947,857,719
NET ASSETS	65,842,588	2,491,518,583	1,100,000	908,547,954	3,917,235,502	12,097,078,453	153,637,897	7,540,569,783	10,940,103	142,876,695	27,295,974,654

Annexure 7: Consolidated Statement of Comprehensive Income for Stand-Alone Pension Funds for the 9 months ended 30 Sep 2020

	Catering Industry Pension Fund	Clothing Industry Pension	Communications and Allied Industry	Construction Industry Pension Fund	GMB	Local Authorities	Mining Industry	Motor Industry	NRZ	Unified Councils	ZARWU	ZB Financial Holdings	Zesa Staff	Zimbabwe Electricity Industry	ZMDC	Total
Income																
Year to date Contributions (Including arrears)	20,653,247	4,213,845	38,559,543	30,029,666	10,093,340	155,420,784	528,917,555	19,155,784	59,340,346	20,149,494	208,679	8,830,594	21,339,487	143,784,142	-	1,060,696,506
Interest on contribution arrears	-	469,435	460,443	102,906	-	16,832,772	38,119,950	-	12,056,745	3,455,839	-	-	1,288,401	17,036,419	-	89,822,911
Transfer from other funds	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Transfer to other funds	-	-	-	-	-	-	(803,726)	-	-	-	-	(15,822)	-	-	-	(819,548)
Rental Income	14,982,859	6,634,287	42,417,722	11,382,102	1,092,927	101,864,939	74,488,893	10,327,870	103,542,374	3,395,129	31,800	1,930,176	30,983,223	21,634,907	142,667	424,851,874
Interest from Investments	171,780	142,700	2,192,070	938,357	239,500	128,727	15,830,130	1,044,717	7,522,139	9,504	-	345,213	182,061	2,450,565	-	31,397,462
Dividends from investments	1,230,401	272,364	961,716	1,266,972	61,432	11,512,118	10,762,481	4,059,326	3,719,150	684	-	2,931,349	623,867	2,751,662	-	40,153,523
GLA Premiums received	-	842,769	-	-	1,599,078	-	-	-	-	124,842	-	-	-	-	-	2,566,688
GLA Premiums (paid)	-	-	-	(60,434)	-	-	-	(336,036)	-	-	-	-	-	-	-	(396,470)
Profit/ (losses) on disposals investments	26,285,002	-	-	123,643	-	-	5,193,233	59,514,497	11,731,687	-	-	132,843	15,768,514	17,546,322	-	136,295,741
Fair value gains (Losses)	102,414,258	-	4,249,879,170	118,336,212	251,103,849	4,608,173,495	6,219,475,117	747,164,565	-	481,785	-	397,700,512	137,806,671	427,418,634	-	17,259,954,268
Other income : 1) Specify	5,106,207	109,636	-	187,238	953,921	7,329,301	9,923,421	116,876,434	82,334,893	786,080	-	19,761,502	298,570	361,352	-	244,028,554
Total Income	170,843,754	12,685,036	4,334,470,664	162,306,662	265,144,047	4,901,262,136	6,901,907,054	957,807,157	280,247,334	28,403,357	240,479	431,616,367	208,290,794	633,184,003	142,667	19,288,551,511
EXPENDITURE																
Pension Benefits																
Year to date pension benefits	152,629	-	25,115,502	1,171,337	113,251	18,118,495	23,592,052	401,332	172,468,547	318,431	33,719	1,572,594	41,967,802	4,060,842	-	289,086,533
Retrenchments and retirements	-	10,175	429,939	35,840	60,165	9,005,150	2,363,943	750,454	-	253,774	-	-	134,911	647,830	-	13,692,180
Resignations, dismissals	392,727	37,008	394,062	153,854	913,424	742,086	2,981,577	1,266,085	135,032	37,763	-	106,309	1,101,686	850,208	-	9,111,821
Full commutations	51,004	1,034	-	-	-	-	532,569	633,939	-	-	-	-	-	352,080	-	1,570,626
Part commutations paid after initial 1/3 commutations or ref	-	-	-	2,438	-	-	114,178	99,821	4,285,363	-	83,331	-	-	-	-	4,585,131
Death benefits	33,285	-	275,338	130,374	11,705	879,854	788,437	78,628	655,940	194,414	-	-	-	-	-	3,047,974
Disability benefits	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
GLA Benefits	-	-	-	-	115,424	-	-	69,776	-	257,760	-	-	-	-	-	442,959
Other Benefits: 1) Specify	-	-	-	49,138	-	-	763,881	-	4,750	2,819,867	-	25,310	-	-	-	3,662,946
Total Benefits	629,645	48,217	26,214,841	1,542,980	1,213,969	28,745,585	31,136,637	3,300,035	177,549,632	3,882,007	117,050	1,704,213	43,204,399	5,910,960	-	325,200,170
Administrative Expenses																
Commissions/Deductions to NEC	-	-	32,260	-	-	71,432	78,345	-	11,671	6,143	-	-	-	-	-	199,851
Staff costs	3,117,331	1,427,308	6,372,762	4,223,272	1,818,656	11,132,601	31,127,056	4,528,277	11,478,263	3,166,692	-	-	2,832,898	4,536,564	-	85,761,679
Admin Expenses	1,157,521	1,560,866	5,101,306	5,080,058	1,780,562	11,526,276	19,778,956	7,337,969	10,796,121	2,315,949	-	-	2,816,582	7,892,354	-	77,144,520
Investment Management Expenses	783,231	-	98,879	131,000	-	-	1,890,381	3,136,795	2,067,887	-	-	1,231,729	737,359	1,786,326	-	11,863,586
Actuarial fees	921,091	100,000	-	1,068,184	769,861	-	1,298,972	115,000	602,750	375,242	-	624,909	560,000	717,878	280,770	7,434,657
Audit fees	342,666	-	353,460	-	-	172,765	1,291,677	189,805	1,422,446	191,590	-	1,229,938	367,078	547,985	-	6,109,410
Legal fees	38,925	180	559,137	2,237	-	851,345	178,444	5,967	46,328	399,770	-	-	-	-	-	2,082,333
Board Expenses	6,820	36,500	716,170	542,293	70,667	863,071	1,146,519	204,422	1,573,855	1,063,087	35,400	-	354,230	451,933	-	7,064,967
IPEC Levies	193,354	89,791	848,517	628,210	191,877	823,065	2,090,575	864,056	2,971,764	108,834	-	305,172	269,730	438,581	-	9,823,526
Bank Charges	49,212	159,158	1,609,434	865,058	464,178	1,967,464	2,220,259	473,326	2,293,232	359,210	-	2,670	1,542,549	793,232	37,923	12,836,905
Sundry expenses	2,500	-	-	-	-	-	-	21,505	75,480	-	-	795	-	-	7,176	107,456
Subscriptions i.e. ZAPF	13,260	5,610	13,388	85,991	23,700	23,010	446,741	-	56,758	12,808	-	14,450	17,241	21,346	-	734,302
Property Expenses	1,745,272	-	202,798	1,356,295	89,623	2,424,898	12,411,133	-	14,425,153	1,149,805	3,770	245,027	3,133,780	2,759,631	42,386	39,989,572
Transfer to reserves	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Asset devaluation expenses (depreciation and	64,258	19,431	33,756	66,964	404,496	-	760,805	156,367	-	712,096	-	-	11,711,025	10,206,580	-	24,135,779
Provision for bad debts	932,258	-	3,750,138	-	-	456,597	94,631,177	69,053	-	-	-	-	-	-	-	99,839,222
Other Expenses: 1) Specify	2,062,138	-	-	825,325	403,291	99,326	149,907	-	-	104,852	-	115,849	-	-	-	3,760,688
Total Administrative Expenditure	11,429,837	3,398,844	19,692,004	14,874,887	6,016,911	30,411,848	167,500,947	17,102,542	47,821,708	9,966,079	39,170	3,770,539	24,342,472	30,152,410	368,255	388,888,452
Total Expenditure	12,059,482	3,447,061	45,906,845	16,417,867	7,230,880	59,157,434	200,637,584	20,402,577	225,371,340	13,848,086	156,220	5,474,752	67,546,871	36,063,370	368,255	714,088,622
Surplus / (Deficit)	158,784,272	9,237,975	4,288,563,819	145,888,795	257,913,167	4,842,104,702	6,701,269,470	937,404,580	54,875,994	14,555,271	84,259	426,141,615	140,743,923	597,120,633	(225,588)	18,574,462,888

Annexure 8: Consolidated Statement of Financial Position for Stand-Alone Pension Funds as at 30 September 2020

	Catering Industry Pension Fund	Clothing Industry Pension Fund	Communications and Allied Industry Pension Fund	Construction Industry Pension Fund	GMB	Local Authorities	Mining Industry	Motor Industry	NRZ	Unified Councils	ZARWU	ZB Financial Holdings	Zesa Staff	Zimbabwe Electricity Industry	ZMDC	Total
ASSETS																
Operating Assets																
Property	7,228,565	-	-	-	37,440,619	-	-	-	-	3,660,548	22,849,780	-	-	-	26,336,000	97,515,512
Motor vehicles	8,901	174,636	493,341	13,957	-	1,144,602	2,101,425	582,894	2,467,911	3,162,123	-	-	-	1,392,841	-	11,542,632
Computer Hardware and Software	100,228	146,247	916,970	799,262	246,453	748,170	6,166,304	377,522	110,882	2,729,308	-	-	-	1,415,227	-	13,756,573
Office furniture and fittings	207,548	71,149	57,682	34,594	185,246	236,911	735,327	40,489	6,041	525,836	-	-	34,736	303,959	-	2,439,518
Other Operating Assets : (Specify)	38,993	-	-	-	442,954	-	9,919	-	1,026,493	1,073,340	-	-	-	-	-	2,591,699
Total operating assets	7,584,235	392,032	1,467,993	1,290,767	37,872,318	2,129,683	9,012,975	1,000,905	3,611,327	11,151,155	22,849,780	-	34,736	3,112,027	26,336,000	127,845,934
Investment Assets (Non-Current)																
Investment Property	150,116,596	1,327,953,914	5,786,552,539	456,371,000	335,250,000	4,749,374,300	4,650,281,289	653,645,968	2,792,480,000	72,574,094	-	208,208,450	1,221,066,019	1,265,256,467	2,073,718	23,671,204,354
Equities - Quoted	191,114,192	15,580,823	261,656,193	154,194,000	9,269,856	1,419,826,237	2,808,596,942	376,175,336	129,832,518	565,925	-	143,780,438	173,218,392	574,512,586	334,950	6,258,658,388
- Unquoted	-	-	-	-	-	113,598,353	168,105,848	6,547,266	1,720,106	-	-	1,888,052	11,423	4,053	-	291,875,101
Prescribed Assets - Government Stock	-	-	6,523,057	257,988	-	3,496,145	-	-	-	100,000	-	-	-	75,000	-	11,118,857
- Other prescribed asset	-	483,761	-	-	6,500,000	-	254,512,188	76,061,767	680,006	15,778	225,019	37,053,011	-	20,700,569	-	396,232,099
Fixed interest securities e.g. bonds and debentures	-	-	949,186	-	-	-	27,729,164	136,435	142,827	-	-	48,305	58,508	9,969	-	29,074,394
Loans and/or Mortgages on Property (excluding Staff loans and Mortgages)	-	-	2,105,983	74,699	-	-	-	911,009	3,673,951	-	-	3,149,728	-	25,939,565	-	35,854,935
Long-term deposits	-	-	-	2,797,681	-	-	3,539,559	73,891	154,319	-	-	-	-	392,287	-	6,957,737
Other non-current assets (Specify)	-	-	-	-	-	-	-	104,986,423	-	-	-	-	-	-	-	104,986,423
Total non-current investment assets	341,230,788	1,344,018,498	6,057,786,958	613,695,368	351,019,856	6,282,798,890	7,981,478,554	1,218,538,095	4,704,910,043	73,255,797	225,019	457,549,198	1,394,354,342	1,886,890,496	2,408,668	32,710,160,571
Investment Assets (Current)																
Prescribed Assets - Government Stock	216,003	-	-	-	-	-	-	-	-	-	-	-	600,000	6,407,639	-	7,223,642
- Other prescribed asset	2,167,623	-	1,000,000	-	-	-	500,000	126,329	-	-	-	-	-	-	-	3,793,952
Fixed interest securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash at Bank	6,704,705	2,005,689	19,818,722	3,671,627	1,478,788	70,100,464	104,627,536	1,551,749	56,812,635	4,797,321	68,010	5,958,163	10,364,476	16,936,344	2,584,435	307,480,664
Money Market investments	-	4,776,123	21,552,562	957,367	-	-	21,724,499	7,430,981	2,013,080	-	-	4,407,021	3,657,000	23,666,000	39,606	90,224,240
Staff loans	74,751	1,955	1,148,407	-	-	191,863	1,975,929	228,399	153,467	263,537	-	-	-	886,419	-	4,924,727
Dividends and interest receivable	-	-	764,031	-	-	211,310	20,604,421	-	-	-	-	96,034	9,043	87,086	45,091	21,817,016
Other current assets (Specify)	3,958,304	11,182,496	1,055,377	8,882,989	-	544,120	20,015,968	5,841,683	5,931,877	70,273	-	94,176	17,202,799	4,668,656	-	79,448,719
Total current investment assets	13,121,386	17,946,263	45,339,100	13,511,983	1,478,788	71,047,756	169,448,354	15,179,141	64,911,060	5,131,131	68,010	10,555,394	31,833,318	52,652,144	2,669,132	514,912,959
Contribution arrears (Age analysis on Debtors form)	26,029,482	3,353,110	9,554,943	12,275,709	1,787,850	356,421,799	271,865,400	1,353,311	99,837,128	25,512,008	80,407	-	-	134,832,596	2,087,294	944,991,037
Rental arrears (Age analysis on Debtors form)	5,289,383	6,121,097	33,422,752	1,194,817	330,846	33,727,523	39,717,525	2,564,395	35,621,848	495,292	11,900	540,770	5,913,924	3,246,623	238,831	168,437,526
TOTAL ASSETS	393,255,274	1,371,851,001	6,147,571,745	641,968,644	392,489,658	6,746,125,650	8,471,522,808	1,238,635,847	4,908,891,406	115,545,384	23,235,117	468,645,362	1,432,136,320	2,080,733,886	33,739,925	34,466,348,027
LIABILITIES																
Reserves: Active members	-	100,812,867	1,987,265,547	29,864,000	95,339,180	-	336,700,000	-	-	-	-	94,658,462	-	644,085,760	-	3,288,725,816
Reserves: Deferred pensioners	-	219,967,688	1,205,278,555	11,422,000	3,845,275	-	72,863,965	-	-	-	-	17,959,891	-	10,687,808	-	1,542,025,182
Reserves: Unclaimed benefits	-	13,376,300	670,593	11,550	-	1,153,892	2,963,260	-	-	1,371,034	2,689,635	4,399,463	-	-	212,757	26,848,484
Other Reserves: Specify	-	-	2,932,347,015	590,069,428	274,371,474	307,239,433	177,272,775	-	-	3,295,160	-	(70,114,605)	1,240,826,354	59,077,004	-	5,514,384,037
Provisions: Withdrawals	-	-	-	-	-	-	-	960,071	-	-	-	132,912	-	-	-	1,092,983
Provisions: Contribution arrears	-	-	-	2,212,251	-	-	183,575,478	1,990,561	-	-	-	-	-	-	2,087,294	189,865,784
Provisions: Other Bad debts	-	-	-	-	17,883	-	11,279,525	-	-	-	-	-	1,097,183	1,108,816	-	13,503,407
Provisions: Leave Pay	284,940	578,499	1,455,555	185,303	54,609	-	446,224	288,199	567,941	-	-	-	-	299,107	-	4,160,377
Provisions: Rental arrears	1,243,134	391,029	13,544,640	359,575	-	-	10,499,767	-	5,205,488	-	-	-	-	-	238,831	31,482,465
Other Provisions: Specify	-	-	171,212	505,085	5,624,554	190,876,592	13,286,980	292,825	-	5,710,821	-	536,450	-	-	-	217,004,518
Arrear pension benefits	-	-	-	-	11,509,491	14,015,504	8,791,584	-	-	37,422	-	167,806	-	-	583,165	35,104,972
Sundry Creditors	73,301	900,252	5,938,820	5,726,928	297,192	-	19,743,350	509,360	43,595,614	104,958	-	-	6,392,025	3,580,343	368,946	87,231,087
Other Creditors (Specify)	3,397,598	-	899,809	1,254,070	1,430,000	18,579,076	19,461,579	999,999	356,643,841	50,838	-	321,456	-	-	-	403,038,266
TOTAL LIABILITIES	4,998,973	336,026,635	6,147,571,745	641,610,191	392,489,658	530,710,605	856,884,687	5,041,014	406,012,884	10,570,233	2,066	43,662,372	1,248,315,562	718,838,838	3,490,992	11,354,467,379
NET ASSETS	388,256,301	1,035,824,366	-	358,453	(0)	6,215,415,046	7,614,638,121	1,233,594,833	4,502,878,522	104,975,151	23,233,051	424,982,990	183,820,758	1,361,895,048	30,248,933	23,111,880,649
Prescribed Assets Value	2,383,626.00	483,761.19	7,523,057.11	257,988.00	6,500,000.00	-	258,508,332.00	76,188,096.00	680,006.18	115,777.61	225,019.34	37,719,678.00	600,000.00	27,183,208.00	-	418,368,549.43
Prescribed Assets ratio	0.61%	0.04%	0.12%	0.04%	1.66%	0.00%	3.05%	6.15%	0.01%	0.10%	0.97%	8.05%	0.04%	1.31%	0.00%	1.21%